Market research case study

Thursday, 12 September 2024 6:22 AM

2 - Market research…

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That's Entertainment (Market Research)

Specification topic: Market Research

Case Study: That's Entertainment

James came from an ex-mining village where unemployment was high. After struggling to find a suitable full-time job James hit on the idea of becoming a children's entertainer. James had been to a number of children's parties with his two young children and often thought that he could do a better job. James decided to enrol on a Prince's Trust Enterprise programme, aimed at people who were looking to take the first step into self-employment.

After the course James carried out some secondary research on the UK market for children's entertainers via the Netmums website which revealed that on average, parents pay £135 on their child's party, with one in six admitting to spending over £300. The average price of a children's entertainer is £75. The market for children's entertainers is also forecast to increase by 3% over the next 5 years. James also carried out some further secondary research on his local area which showed that there were already 6 children's entertainers operating within a 30 mile radius of his home, of which only 1 offered a children's magic show. James also distributed some questionnaires to some of the other parents at the school where his children attended and the 20 that were returned revealed the following information:

- 56% of parents would be interested in employing a children's entertainer
- Quality was more important than price
- 78% of parents expected a children's entertainer to perform some magic and balloon modelling at the party

Based on the above information James drew up a business plan and approached his local bank who agreed to a £5,000 loan which would help to get his business off the ground as well as provide the finance he needed to attend a magic and balloon modelling course.

Exam-style questions

1. What is meant by market research (2 marks)
2. Assess the usefulness of the market research carried out by James (8 marks)

That's Entertainment (Market Research)

1. Assess the usefulness of the market research carried out by James (8 marks)

- James' market research provided some valuable information on the UK market for children's entertainers including the average price and market growth information
- Secondary research provided useful information on the local market including the number of children's entertainers and that only 1 currently performs a magic act
- Primary research showed that 56% of parents would be interested in employing a children's entertainer and that quality is more important than price
- Most parents expect some form of magic and balloon modelling which would allow James to tailor his entertainment to customer's needs

Potential counterbalance

- Some of the research was for the UK market and may not be representative of the local market
- His primary research is based on a very small sample size who may not be representative of the local market